

Amazon Q3 2025 Earnings Transcript

Blind Sentiment & Directional Score

David Eji

July 14, 2026

Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Research:** Google is allowed for context (definitions, prior-quarter framing, industry data). Not allowed before sealing: the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Amazon.com, Inc. (AMZN)
Report	Q3 2025
Release date	Thursday 30 October 2025, after close
Earnings call	5:00pm ET
Source transcript	Motley Fool
Press release	Form 8-K, SEC EDGAR, filed 30 October 2025
Read mode	transcript and news only
Time to produce	47 minutes

Source material (read this first)

Headline financials

- Revenue \$180.2B, up 12% year over year excluding currency.
- AWS \$33B, up 20.2%, the fastest since 2022, at a \$132B annualized run rate.
- Advertising \$17.7B, up 22%.
- Operating income \$17.4B including a \$2.5B FTC settlement and \$1.8B of severance. A \$9.5B pretax Anthropic investment gain sits below the operating line.

Forward guide

- Full-year 2025 cash capex about \$125B, with 2026 expected higher.
- Q4 includes at least \$1B of additional power capacity spend.

Hedges and concerns

- AWS margins subject to swings as AI data center depreciation builds.
- Power flagged as a possible industry bottleneck, with chips a later constraint.
- Agentic commerce still immature on personalization, delivery estimates and pricing.

News and context going into the print

Pre-release context only. Nothing below reveals the market reaction to this report.

- Days before the print Amazon announced roughly 14,000 corporate job cuts, so cost discipline was already in the headlines.
- A major AWS outage on 20 October had taken down large parts of the internet, putting reliability questions in play.
- The stock had lagged the other megacaps in 2025 and the whole thesis rested on AWS reaccelerating. The FTC settlement charge was already public.

Candidate evidence quotes

1. “AWS is growing at a pace we haven’t seen since 2022, reaccelerating to 20.2%” – Jassy, prepared remarks.
2. “It’s not simple to build a cluster with 500,000+ chips going to 1 million” – Jassy, Q&A.
3. “AWS revenue increased \$2.1 billion quarter-over-quarter” – Olsavsky, prepared remarks.
4. “The announcement wasn’t really financially driven and not even AI-driven” – Jassy, Q&A, on the job cuts.

Your scoring – fill in below, then seal

1 Sentiment score

Score: –0.55

Rationale. AWS reaccelerated, but only to about 20%, still short of the hyperscaler pace, and the beat leaned on one-off items with capex climbing faster than the cash to fund it.

2 Directional signal

Signal: SELL

Rationale. A richly valued name where 20% cloud growth may not clear the raised bar, and rising capex pressures free cash flow. SELL.

3 Structured summary

- **AWS and AI.** The story. Fastest growth since 2022 at a \$132B run rate.
- **Retail and advertising.** Advertising strong at 22%, retail steady.

- **Margins and one-offs.** FTC and severance charges known, the Anthropic gain sits below the line.
- **Forward guide.** Higher capex, but tied to visible AI demand.

4 Evidence quotes

1. “AWS is growing at a pace we haven’t seen since 2022, reaccelerating to 20.2%” – Jassy, prepared remarks (cloud).
2. “AWS revenue increased \$2.1 billion quarter-over-quarter” – Olsavsky, prepared remarks (momentum).
3. “It’s not simple to build a cluster with 500,000+ chips going to 1 million” – Jassy, Q&A (capacity moat).

— SEALED —

Overnight move and call verification

AMZN close, 30 October 2025 (release day)	\$222.86
AMZN open, 31 October 2025	\$250.10
Overnight move (release close → next open)	+12.22%

Call verification

- HOLD band test: $|+12.22\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: the move is positive, so the correct directional call is **BUY**.
- Score given vs. correct call: signal was **SELL**. The correct call was **BUY**, so the call was **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	+12.22%
D+1 close	+9.58%
D+3 close	+11.87%
D+5 close	+9.06%
D+10 close	+6.61%
D+20 close	+4.65%